



FINANCIAL POLICY AND PROCEDURES MANUAL



1.0 INTRODUCTION

1.1 The Purpose

- a) The purpose of this manual is to document the finance-related policies and procedures which underpin the financial management system in place at ECAS Institute and to ensure that the financial statements conform to generally accepted accounting principles, assets are safeguarded, guidelines of donors are complied with and finances are managed with accuracy, efficiency, completeness and transparency.
- b) All staff with a role in the management/review of finances and procurement are expected to comply with these policies and procedures.
- c) This manual must be reviewed annually by the Head of Finance and approved by the Audit Committee periodically.

1.2 Background Information

- a) ECAS year end is 30 June.
- b) The accounting system used will be decided by the board with assistance from the Finance and audit committee.
- c) All income and expenditure transactions are allocated to both a nominal ledger code (see Appendix 4) and a grant code.

1.3 Related Policies

- a) Travel and expenses policy and procedures
 - b) Conflicts of interest policy
 - c) Anti-bribery and corruption policy
 - d) Whistleblowing policy
 - e) Related parties' declaration for trustees and EMT
 - f) Governance Manual
 - g) Risk management policy
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1.4 Related forms

- a) Staff expenses claim form
- b) Credit card and cash advance form

2.0 BANK ACCOUNTS

- a) ECAS Institute has the following bank accounts:

Account name	Currency	Sort code	Account number
ECAS Institute	KSH		

- b) All bank accounts must be in the name of the organization, not an individual. New accounts may only be opened by a decision of the Board. The bank mandate requires two signatories to approve all transactions and changes to bank accounts.

- c) Current bank signatories are:

1. Jacob Olonde (CEO)
2. Esther Were (Head of Finance)
3. Erick Ogallo (Secretary)
4. Leah Gichuki (Board chair)

- d) Bank accounts may be accessed online. The following people may have access:

1. CEO – System administrator: prepare and approve
2. Head of Finance – System administrator: prepare and approve
3. Head of Programme Development – End user: prepare and approve
4. Head of Operations – End user: prepare and approve
5. Finance Assistant – System administrator: prepare only

6. Technology Manager – End user: prepare only

- e) All bank accounts are reconciled to the accounting system at least monthly and the month-end reconciliation is reviewed by an independent person, typically the Head of Finance.

3.0 PETTY CASH

- a) Petty cash is held in a locked box in the office. Keys are held by the Head of Finance and the Finance Assistant. Whenever petty cash is taken from the box a receipt or IoU must be put in the box.
- b) The maximum amount of Kenya Shillings that is held at any one time is Ksh 50,000. Petty cash is counted once a month and the reconciliation is reviewed by an independent person.

4.0 FIXED ASSETS

- a) All assets costing more than Ksh 200,000 and with an expected useful life exceeding one year are capitalized. Depreciation is charged annually at the following rates in order to write off assets over their useful economic life:
 - Computer equipment: 50% per annum
 - Fixtures and fittings: 50% per annum
- b) An inventory of all assets held is maintained by the finance team. This includes all assets and equipment regardless of whether they are classified as fixed assets for accounting purposes. The inventory is used to monitor the whereabouts of assets (e.g. computers) and for insurance purposes.
- c) Staff are responsible for any physical assets assigned to them. Staff must report loss or damage of any asset to the Head of Finance and/or CEO as soon as possible.

5.0 DEBTORS, CREDITORS, ACCRUALS AND PREPAYMENTS

- a) Typically, the only debtors are donors and customers. Outstanding amounts are monitored at least monthly by the Head of Finance.
- b) The only creditors are trade creditors. They are paid in line with stated payment terms.
- c) Accruals and prepayments are reviewed and posted annually as part of the year-end process.

6.0 INCOME

- A. Income is recognized when the charity is legally entitled to it, the receipt is probable and the amount can be reliably measured.
- B. Investment income is recognized on a receivable basis.
- C. Donations in kind (e.g. pro bono support by professionals) must be recorded by notifying the Head of Finance who will record them in the finance folders.
- D. No income is received in cash or by cheque.

7.0 PROCUREMENT POLICY

7.1 Objectives

Procurement is the purchase of works, assets, goods and services for the organization. It is one of the riskiest areas in NGO financial management as it is often abused by kickbacks, paying too much for sub-standard goods, or buying from related parties.

- a) The objectives of this policy are to ensure that:
 - The correct goods or services are purchased, in terms of the correct quality and specification.
 - Best possible value for money is achieved.

- The process is safe, i.e., risk of fraud is minimized.
- The process is fast enough to meet programme needs.
- Grant conditions are complied with.

7.2 Principles

As we are a small charity with few procurement needs, we don't have an approved supplier list or a formal procurement committee. However, in buying or commissioning goods and services, ECAS Institute must conduct itself in a fair, open and transparent manner in accordance with the following principles:

- a) Value for money is achieved; this takes into account quality, timing, ethics and environmental considerations as well as cost.
- b) Competition - procurement should be through open competition unless there are exceptional reasons.
- c) Conflicts of interest – any real or perceived conflict of interest is declared in line with the conflicts of interest policy.
- d) Payment on time - suppliers must be paid on time in accordance with contractual arrangements.
- e) Ethical standards - procurement must be undertaken to the highest ethical standards, and fairness to suppliers.
- f) Legal aspects - contracts must be in writing (email is fine) and be fair and nondiscriminatory.
- g) Environmental impact - suppliers must consider environmental impacts and aim to minimize adverse effects.
- h) Local – goods and services should be procured from local sources, when possible, but without compromising competition.

7.3 Procedures

- a) Prepare the specification for the goods/service to be procured.
- b) Check the available budget.

- c) Obtain authorization from the appropriate person (see Delegated authority limits) to go ahead with the procurement.
- d) Obtain quotes according to the following criteria.

Value of Purchase Including VAT	Action Required
Ksh 100,000 and under	Minimum of 1 quote
Ksh 100,000-Ksh 500,000	Minimum of 2 written quotes
Ksh 500,000–Ksh 1,500,000	Minimum of 3 written quotes
Greater than Ksh 1,500,000	Formal tender required (i.e. request for tenders published and advertised appropriately)

- e) Ensure donor guidelines are followed as each donor has different requirements in this area. If the limits are lower than above the donor guidelines take precedence.
- f) To identify potential suppliers, ask colleagues for contacts, search online or advertise as appropriate. If the supplier is related/known to the person running the procurement process, this must be declared and a second opinion must be obtained before committing to the purchase (see conflicts of interest policy).
- g) Ensure the quoted cost is within budget (and that the budget is monitored before, during and after the procurement process).
- h) Select the supplier based on the principles above. The decision must be made in line with delegated authority limits and the rationale for the decision must be documented.
- i) When goods are received ensure that they are of the correct quality and quantity.
- j) Send the invoice to finance@ecasiafrica.org in line with normal finance procedures.

7.4 Choice of Currency

Where the purchase is not in Kenya and there is a choice of currency, the following guidelines should be followed (in order of preference):

- a) Use the same currency as the underlying funds are physically received in (i.e., not necessarily the currency per the donor contract) to minimize exchange rate risk.
- b) If not possible/practical, use GBP.
- c) If not possible/practical use USD.
- d) If not possible/practical use currency of country expenditure takes place in.

8.0 EXPENDITURE PROCESSING

8.1 Overview

- a) All payments are made by bank transfer, credit card, cash or on occasion Western Union. Western Union may be used for payments up to Ksh 200,000. Western Union is used when bank transfers have failed and the recipient agrees.
- b) We do not use cheque-books.
- c) Policies and procedures in relation to credit cards, staff advances and staff expenses are covered in the Travel and Expenses policy and procedures.

8.2 Approvals Process

- a) For all approvals (i.e., payments/expenses/credit cards) the process is as follows:
 - The requester emails the approver attaching the supporting documents (e.g., invoice, contract/agreement, bank details) and including the details in the table below:

Grant	
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Grant outcome (if applicable)	
Purpose/description	
Date payment required	

- If the approver is happy to approve it they reply to the requester and copy in finance team, stating that this is the case. The email address should be monitored by the Finance Assistant and, in their absence, the Head of Finance and Resource Mobilization
- If the approver is not happy to approve the document, they should reply to the requester giving reasons for their concerns.

b) The approver must check:

- The amount is correct.
 - The amount is within budget.
 - The correct grant has been stated (including outcome/activity where applicable).
 - The work has been performed/goods delivered satisfactorily and payment is due.
 - The expense is a valid expense of the organization (i.e., wholly, exclusively and necessarily incurred for business purposes).
- c) If bank details are not on the invoice/payment request, please ask the supplier/consultant to provide them to avoid delays in payment.
- d) When booking flights with Diversity Travel, they ask for a PO (Purchase Order) number. We use the Grant code for this.

8.3 Payment of Invoices

- a) We do one payment run per week – usually on a Wednesday morning. In exceptional circumstances, payments can be made at other times but this should be minimized for efficiency reasons.
- b) Staff expenses are included in the weekly payment run.

- c) The steps involved in a payment run are:
1. Save all invoices, approval emails and other supporting documents which have been sent to the finance email address on google drive in a folder named with the date of the payment run.
 2. Prepare a spreadsheet listing all payments due (using the same format as the previous month). Number the payments and ensure that all supporting documents have the same numerical reference in the payment folder.
 3. Set up payments online.
 4. A different person approves the payments online.
 5. Enter invoices and related bank transactions into the financial management system.
 6. Send remittances to staff and suppliers (no remittances are required for payroll as pays lips are provided for this purpose).
 7. For foreign payments, monitor when the payment is received by the payee.

9.0 STAFF REWARD

- a) All staff (permanent and temporary) must be paid at least the local living wage.
- b) The current salary scale is included in Appendix 2.
- c) Pay is reviewed annually in June/July (as part of the budget process). Any changes are effective from 1st August. Salaries may be reviewed on an ad hoc basis at other times of the year.
- d) All changes to staff pay must be approved by the CEO. Changes to the CEO and senior management team's pay must be approved by the Board in line with the Governance manual. Appropriate evidence to support all changes is filed on the payroll file.

- e) Payroll processing may be outsourced as necessary. Changes are notified to them by the Head of Finance each month. The Head of Finance checks the accuracy of the payroll reports they send and updates the payroll monitoring spreadsheet. This spreadsheet monitors the total amount paid each month for all payroll related costs (i.e., income tax, National Insurance contributions, student loans, pension contributions and SACCO contributions etc.), explains any changes since the previous month, shows how payroll costs are split between donors and reconciles these costs to the accounting system.
- f) Salaries are paid on the 26th of the month (or previous working day if the 26th is not a working day). Payroll related payments are set up at the same time.

10. RESERVES

- a) The reserves policy is disclosed in our financial statements and is reviewed annually as part of the year-end process.
- b) The reserves policy aims to ensure that reserves are sufficient to:
 - Cover essential investment for the enabling environment required to deliver the strategy and ensure viability of our technological platforms;
 - Safeguard the charity's grass root community commitments in the event of delays in receipt of income;
 - Enable ECAS Institute to complete the existing contracts within a planned and orderly reduction of activity should our sources of income cease.
- c) The Trustees maintain the view that reserves should not be set too high as this would tie up funds which could and should be spent on charitable activities.
- d) The organization aims to hold unrestricted reserves amounting to a minimum of three months and a maximum of six months' expenditure.

11. BUDGETING

11.1 Organization Budget

- a) The annual budget approval process is as follows:
 - 1. Draft budget prepared by the Head of Finance in May;
 - 2. Draft budget is reviewed and approved for submission to the Audit Committee by the CEO;
 - 3. Draft budget is approved by the Audit Committee for submission to the Board;
 - 4. Final budget is approved by the Board before the start of the financial year to which it relates.
 - 5. The original approved budget may be revised during the year. For example, after the audit, adjustments may be required in relation to timing differences across the year-end (e.g. receipt of donor disbursements). Budget revisions must be approved by the Audit Committee.
- b) The budget must be broken down by month, by donor, by restricted/unrestricted funds and by fixed/variable costs. It must include a list of the assumptions made and the source of the information used.
- c) The budget is prepared on a cash basis.
- d) Performance against the approved budget is monitored monthly in the management accounts and reported to the Audit Committee quarterly (see reporting section below).

11.2 Donor Budget

- a) Donor budgets are prepared by the Programme Development team and/or Operations team. The Head of Finance must review all budgets before they are submitted to the donor.
- b) When preparing donor budgets, the principles of full cost recovery must be applied (see Appendix 7).

12. REPORTING

12.1 Monthly

- a) Monthly management accounts showing income and expenditure against budget will be circulated to all budget holders and the Executive Management Team within 6 working days of the month end.
- b) Budget holders should review them and raise any issues ASAP. Things to look for include:
 - Are all payments you expected to see included?
 - Is there any expenditure allocated to the grant which you didn't expect to see?
 - Has all anticipated income been recorded?
 - Are we on track to meet the budget? I.e. are any over/underspends expected?

12.2 Quarterly

- A. Management accounts are prepared for the Board quarterly. These must include:
 - the breakdown between restricted and unrestricted funds;
 - a breakdown of restricted funds by donor;
 - comparison of actual to budget income and expenditure with narrative explanations for significant movements; and
 - forecast income and expenditure for the rest of the financial year.

13. CASH FLOW

- A. Cashflow is monitored at a high level by the Head of Finance on a weekly basis and reported on in the monthly management accounts.
- B. Summary level cash flow is reported on in quarterly Audit Committee meetings.

- C. The budget is prepared on a cashflow basis so serves as a high-level control mechanism.
- D. More detailed cashflow reports are prepared as required.

14. FOREIGN EXCHANGE

14.1 Exchange Rate Used for Accounting

- a) Exchange rates are updated in the accounting system at the start of each month.
- b) Exchange rates are taken from Oanda:
<https://www.oanda.com/currency/converter/>.
- c) At the year-end take a screenshot of Oanda showing the rates used. For other months this is not necessary.

14.2 Obtaining Foreign Currency Cash

- a) When travelling overseas we do not typically obtain local currency prior to travel. Either cash is withdrawn from an ATM on arrival using a VISA enabled card or US Dollars are withdrawn and converted to local currency on arrival.

14.3 Exchange Rate Risk

- a) When donor contracts are stipulated in a currency other than our reporting currency (Ksh) we do not hedge the exchange rate risk. This is because the costs (financial and staff time) are considered to outweigh the potential benefit given the level of risk is low (i.e., even if exchange rate losses are incurred it is unlikely to jeopardize our future operations, we would simply scale our operations accordingly).
- b) We currently receive funding in GBP, USD, NOK, EUR and SEK.
- c) As we don't have any expenditure in SEK, to spread the exchange rate risk we transfer regular amounts from SEK to USD.
- d) We hold USD in the USD bank account and use the balance to pay USD expenses.

- e) We don't have a GDP, EURO or NOK bank account; therefore, EURO and NOK amounts are typically received in USD.

15. AUDIT

- a) We have an external audit annually. Our auditors are selected by the Board.
- b) Auditors also perform donor specific audits as required.
- c) Due to our small size ECAS Institute does not have an internal audit function and has not undertaken any internal audits in recent years. The Audit Committee reviews the controls in place and may request an internal audit be carried out at any time.

16. INSURANCE

Appropriate insurance policies should be in place to cover:

- Travel
- Employer's liability, Professional indemnity, Directors' liability, office contents and legal expenses
- Medicals

An inventory of all physical assets owned by ECAS Institute is kept on google drive.

17. TIMESHEETS

- a) Donors are increasingly asking for timesheets to verify time spent. In the future we may need to start routinely recording which grant our time is spent on. However, currently we do this on an ad hoc basis when donors request it.
- b) A template timesheet is saved in the finance folder on google drive _IA for when this is required.

APPENDIX 1: DELEGATION LIMITS

1. Internal Authorization of Expenditure

Who	Transactions Which Are in The Budget Approved by The Board/Confirmed Donor Budget	Transactions Which Are NOT In the Budget Approved by The Board/Confirmed Donor Budget (Unapproved Expenditure from Reserves)
Audit Committee on behalf of the Board	n/a	➤ Ksh 2,500,000
CEO	>Ksh 2,500,000	< Ksh 1,000,000
EMT	<Ksh 2,500,000	Ksh nil
Other staff	<Ksh 10,000	Ksh nil

- The limits apply to the total amount committed to, not individual transactions e.g. in the case of a contract, it is the total amount payable over the duration of the contract, regardless of the payment schedule.
- No-one can authorize payments to themselves (except contractual salary payments).

2. Internal Authorization of Income

- a) The CEO must approve all contracts for income.
- b) The CEO has delegated authority to negotiate and enter into contracts and agreements with third parties up to a maximum value of Ksh 200 million.

APPENDIX 2: SALARY SCALES

Role	From	To
CEO	Ksh 650, 000	Ksh 1,200,000
Head of Programmes	Ksh 200,000	Ksh 400,000
Manager	Ksh 150,000	Ksh 300,000
Co-Ordinator/assistant	Ksh 100,000	Ksh 150,000
Project Officer	Ksh 80,000	Ksh 100,000
Project Assistant	Ksh 40,000	Ksh 70,000
Graduate Interns	Ksh 20,000	30,000
Volunteers	Ksh 10000	Ksh 15,000
Support Staff	Ksh 10,000	Ksh 40,000

Notes:

1. All amounts are in Ksh, are gross figures (e.g. before employee's tax, national insurance and pension contribution) and exclude employer pension contribution.
2. All amounts represent the full time equivalent (FTE) salary. Part time roles will be pro-rated based on the contracted hours and assuming a full-time working week has 35 hours.
3. Amounts awarded to staff are based on years of experience and qualifications.
4. ECAS Institute will always pay at least the local living wage to staff.
5. Salaries are reviewed at least annually in line with the organization budget timescales.

APPENDIX 3: CHECKLIST OF REGULAR TASKS

Task	Date	Who
Weekly		
Pay suppliers, send remittance advices	Tuesday	FA
Review bank accounts	Friday	FA
Monthly		
Credit cards		
Statements circulated to card holders	1 st	FA
All receipts received and approved	15 th	FA
Payroll		
Review payroll for the month, notify payroll provider of any changes since previous month	5 th	HoF
Payroll payment	Value date 26 th (or previous working day)	FA
Other		
Petty cash recurrent month	as at last day of month	FA
Exchange rates entered in the financial system	as at last day of month	FA
Bank recs		
Main (Ksh)	as at last day of month	FA
Prepare management accounts	By 6 th working day	HoF
Process bank records	By 6 th working day	HoF
Post rough posted documents	By 6 th working day	HoF
Quarterly		

Update system reference data spreadsheet and review for accuracy		HoF
Emergency equipment review		FA
Check first aid kits		FA
Prepare financial report for Audit Committee		HoF
Update forecast income and expenditure for current financial year		HoF
Annual		
Staff survey	March/April	HoF
Office rent review	March	HoF
Electricity contract renewal	March	HoF
Annual working practices review for contractors (to ensure they are not disguised employees)	May	HoF
HR manual recertification	May	HoF
Prepare organization budget and cash flow forecast	May	HoF
Review staff salaries and send letters	June	HoF/CEO
Renew travel insurance	June	HoF
Send trustees and senior management team annual declaration of interests	July	HoF
Revaluation of foreign currency accounts	June	HoF
Review accruals and prepayments	June	HoF
Renew office and liability insurance	July	HoF
Organization audit	Feb/March	HoF
Long term		
Fix rate trademark renewal	April	
US Equivalency Determination expires	June	

APPENDIX 4: FULL COST RECOVERY POLICY

1. What is Full Cost Recovery?

‘Full cost recovery’ means that all costs of the organization are covered by the funding received. Any uncovered costs must be met from reserves; therefore, in order to be a financially sustainable organization full cost recovery must be achieved.

2. What are our costs?

Our costs fall into two broad categories:

- **Direct costs of project implementation**

E.g. grants to partners, translation of Development Check, travel to monitor the project, in-country coordinator etc. These costs must always be fully covered by the grant/project budget.

- **Indirect costs** (also called central, core, fixed or support costs or overheads)

These are difficult to apportion to a particular project/grant. E.g. Kenya salaries, office rent and other office costs, Development Check maintenance. A portion of these costs must be allocated to every grant/project. See the guidelines below.

3. How Do We Ensure That All Our Indirect Costs Are Covered?

a) Finance team actions

- As part of the annual budget setting process the achievement of full cost recovery is reviewed and the plan for the forthcoming year is set – this is linked to the reserves policy as any costs which are not recovered must be met from reserves. At the start of the year, it is common for a portion

of indirect costs to be unmet as we assume that new funding sources will be found throughout the year. The trustees take a view of the degree of risk they are willing to take in this area.

- On a quarterly basis the proportion of costs recovered is monitored against the budgeted position (as part of reserves monitoring).

b) Non-finance team actions

- When committing to expenditure ensure that it is included in a donor budget. Do not approve unbudgeted expenditure.
- When preparing donor budgets, we must balance the need to be competitive/fundable and to not exceed the donor's overhead limits with our need to cover all our costs. To do this the following guidelines must be followed:
- Ensure that all project related costs are included in the budget for activities (and not labelled as overheads). This includes:
 - An element of CEO salary costs for oversight and reporting;
 - An element of finance team salaries for financial reporting;
 - Travel costs for negotiations, training and monitoring;
 - A contribution to Development Check maintenance;
 - Ensure salary costs include employers' pension and national insurance contributions.
- In addition, every funding bid must include an element of both office costs and non-project staff costs. An individual judgement must be made for each proposal to ensure we maximize the contribution to

core costs but as a guideline we should aim for 1015% of the total project budget.

- Different donors will have different rules that must be followed so we must make sure we understand the implications of these. We should be consistent in our approach when requesting multiple grants from the same funder.